Derivative Financial contract that derives its value from the performance of another asset and that specifies conditions under which payments are to be made by the parties involved; includes futures, options, forwards, and swaps.

Disposition effect Tendency to sell winners prematurely to lock in gains and to hold onto losers too long in the hope of breaking even; see also *Asymmetric loss aversion*.

Double sort Sorting data into categories based on one factor, then sorting these categories into new categories based on an additional factor.

Drawdown Difference between a portfolio's highest valuation and its lowest subsequent valuation; the percentage that price moves down after making a new high.

Dual momentum A combination of absolute and relative momentum.

Efficient market hypothesis (EMH) Idea that security prices fully reflect all publicly available information and that after adjusting for risks one cannot easily achieve long-run returns in excess of the market.

Egodicity Where every sequence or sizeable sample is equally representative of the whole; implies that statistical properties can be deduced from a single sample of the process.

Equal weighted Where each stock has the same weighting or importance in a portfolio or index.

Excess return Rate of return from a security or portfolio that exceeds the return of a benchmark or index.

Expected return How much you can expect to earn on average on an investment.

False discovery rate Statistical method used in hypothesis testing to account for multiple comparisons by indicating the expected percent of